

rency to another, trying to figure out which trend is real, when in fact by the end of the process, most major currencies will have risen relative to things. Which one ultimately rises the most is anyone's guess.

Figure 14-17 shows that the U.S. dollar is nearing the end of a five wave decline from the early days of this century. An upward correction of Supercycle degree, the largest since the start of the decline, is due to begin when wave V ends. It will be a temporary and only partial recovery, but a strong one. The 1929-1932 period provides a very minor precedent for this development. Locate in Figure 14-17 the brief jump in the dollar at that time, and you will see how swiftly the trend can appear and then reverse. The rally of that time occurred under conditions similar to those forecasted by

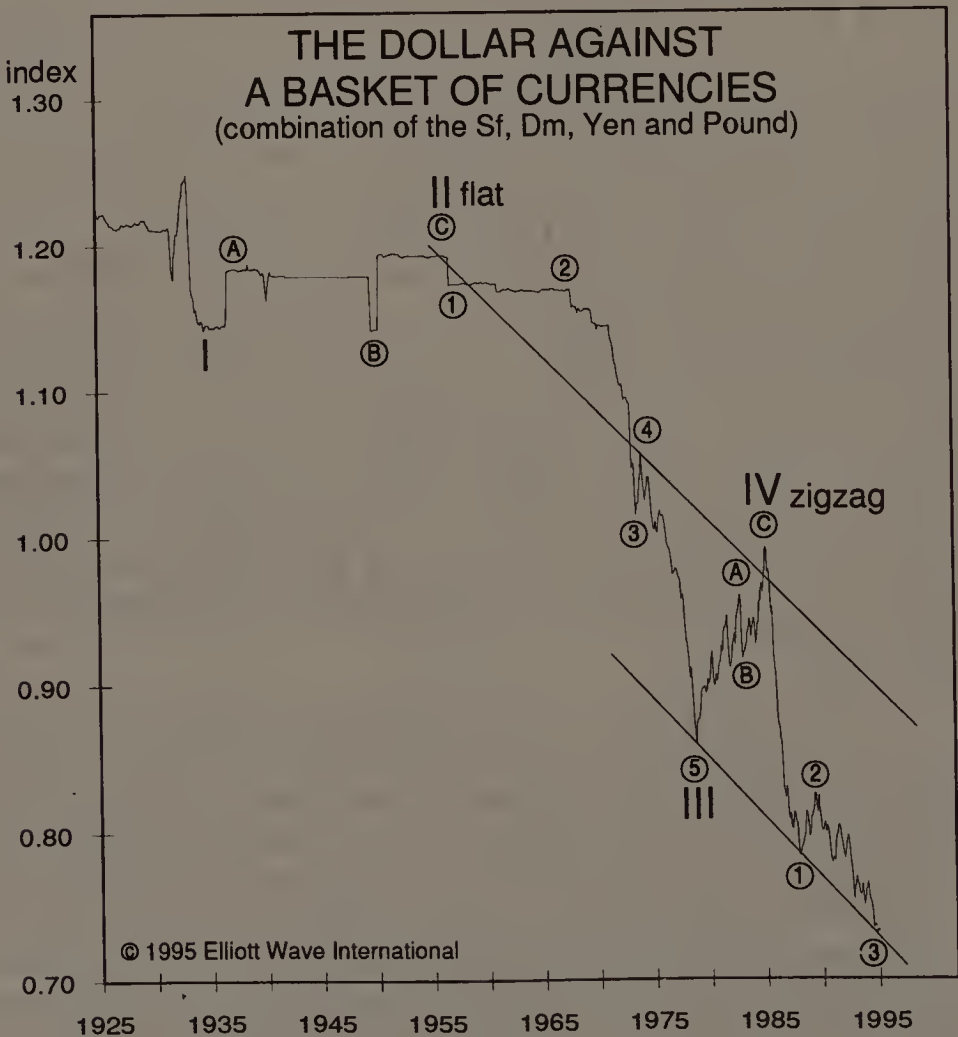


Figure 14-17